

Technical Description

Numerous studies have shown that investors are overconfident in their investing abilities. Specifically, the confidence intervals that investors assign to their investment predictions are too narrow. This type of overconfidence can be called *prediction overconfidence*. For example, when estimating the future value of a stock, overconfident investors will incorporate far too little leeway into the range of expected payoffs, predicting something between a 10 percent gain and decline, while history demonstrates much more drastic standard deviations. The implication of this behavior is that investors may underestimate the downside risks to their portfolios (being, naturally, unconcerned with “upside risks”!).

Investors are often also too certain of their judgments. We will refer to this type of overconfidence as certainty overconfidence. For example, having resolved that a company is a good investment, people often become blind to the prospect of a loss and then feel surprised or disappointed if the investment performs poorly. This behavior results in the tendency of investors to fall prey to a misguided quest to identify the “next hot stock.” Thus, people susceptible to certainty overconfidence often trade too much in their accounts and may hold portfolios that are not diversified enough.

PRACTICAL APPLICATION

Prediction Overconfidence

Roger Clarke and Meir Statman demonstrated a classic example of prediction overconfidence in 2000 when they surveyed investors on the following question: “In 1896, the Dow Jones Average, which is a price index that does not include dividend reinvestment, was at 40. In 1998, it crossed 9,000. If dividends had been reinvested, what do you think the value of the DJIA would be in 1998? In addition to that guess, also predict a high and low range so that you feel 90 percent confident that your answer is between your high and low guesses.”¹ In the survey, few responses reasonably approximated the potential 1998 value of the Dow, and no one estimated a correct confidence interval. (If you are curious, the 1998 value of the Dow Jones Industrial Average [DJIA], under the conditions postulated in the survey, would have been 652,230!)

A classic example of investor prediction overconfidence is the case of the former executive or family legacy stockholder of a publicly traded company such as Johnson & Johnson, ExxonMobil, or DuPont. These investors often refuse to diversify their holdings because they claim “insider knowledge” of,